



Rachel E. Dickon
Secretary, Federal Maritime Commission
800 North Capitol St NW
Washington, DC 20573

September 11, 2018

Re: Petition P2-18: Agriculture Transportation Coalition

Dear Secretary Dickon:

Herewith the comments of Agriculture Transportation Coalition (AgTC) in reply to Petition No. P2-18, the Petition of OOCL for an Exemption. In summary, the AgTC supports this Petition for exemption from 46 USC 40703 so that OOCL may reduce tariff rates effective upon publication, and no longer be subject to the requirement to provide 30 days' notice of a reduction in its tariff rates.

The AgTC has been identified by a leading transportation and logistics publication as "the principal voice of agricultural exporters in US transportation policy." The AgTC's membership includes companies that represent virtually all agriculture products and many forest products both exported from and imported into the United States, as well as trucking companies, warehouse and transload facilities, and freight forwarders. These products are grown, raised, processed, packaged and shipped from all regions of the US, to all markets worldwide, where they typically face competition from similar products sourced elsewhere.

The so-called "controlled carrier" provision may have had some justification at the time the Shipping Act of 1984 was enacted, due to existence of a substantial US flag international liner fleet; US companies were competing against carriers owned by, subsidized by foreign government(s). Whether or not that served the interests of the US exporters and importers then, today it clearly does not. Today it serves to reduce competition in the provision of essential ocean carriage service to US exporters and importers. Further, whether or not the limitation of a "controlled-carrier" to immediately reduce freight rates, actually served the interests of the US flag carriers since its enactment, it clearly is unnecessary today, as those US flag carriers are no longer operating.

With the ongoing consolidation of the ocean liner service providers, including acquisitions and mergers, US exporters and importers can ill afford to have one carrier's pricing flexibility hobbled by an outdated, and largely irrelevant, restriction such as in 46 USC 40703.

OOCL should have pricing flexibility parity with the ocean carriers with whom it must compete, and thus be exempted from the 30 days notice requirement for rate reduction.

Sincerely,

Peter Friedmann
Executive Director
Agriculture Transportation Coalition.